

Economy

Consolidated Must-Score Facts and must-score drill cards for every chapter.

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Topic 1 — Indian Economy: Basics, Evolution and Planning

Consolidated — 50 Must-Score Facts

1. India is a **mixed economy** — public and private sectors coexist. The balance shifted toward markets after **1991**, but public enterprise did not vanish.
2. Standard school texts still call India an **underdeveloped / developing** economy on structural grounds (low per capita income historically, large agri workforce share, poverty / underemployment, technology gaps) even while absolute GDP size is large.
3. **Adam Smith** is commonly called the **Father of Economics**. **J.M. Keynes** is the father of modern **macroeconomics**, not the blanket “Father of Economics” tag.
4. India is also keyed as a **labour-surplus** economy (large workforce at low wages) — not capital-surplus or trade-surplus.
5. Underdeveloped traits that decide stems: **low per capita income** and **low capital formation**. **Low dependency ratio** and a **tertiary-heavy workforce** are developed-economy tags.
6. **Voluntary social service** is **not** an economic activity; farming, transport and market services are.
7. **Economic growth** is a rise in real output / real income. The best single sign among options is a **sustained rise in real per capita income**.
8. **Economic development** is broader — living standards, welfare, health, education, inequality and poverty outcomes.
9. Growth in **per capita income** is **not a sufficient measure of development**. Real GNP rise does **not** mean development if **poverty and unemployment** worsen.
10. **Hindu rate of growth** (Prof. **Raj Krishna**) = stagnant **National Income / GDP** growth around **~3.5%** from the 1950s to early 1980s.
11. **GDP** is the market value of all **final** goods and services produced **within the domestic territory** in a period.
12. **GNP / GNI** adjusts domestic product for **net factor income from abroad** (NFIA): roughly $GNP = GDP + NFIA$.
13. **NDP** = $GDP - \text{depreciation}$ (never $GDP + \text{depreciation}$). **NNP** = $GNP - \text{depreciation}$. Also $NNP = GDP + NFIA - \text{depreciation}$.
14. **National Income** in older Indian teaching is **NNP at factor cost** (NNPFC) = $GNP_{mp} - \text{depreciation} - \text{indirect taxes} + \text{subsidies}$.
15. **Real GDP** uses constant (base-year) prices. **Nominal GDP** uses **current** market prices.
16. **Base year** = the year whose **prices** are used for **real** GDP. Current National Accounts base (from **Feb 2026**): **2022–23**. Previous major base: **2011–12** (from 2015).
17. Three approaches to measuring national income: **product (value added)**, **income**, and **expenditure**. **Diminishing-cost method** is **not** a GDP method.
18. Intermediate goods are excluded from GDP to avoid **double counting**. Only final goods (or value added) count.
19. **NSO** (MoSPI) estimates / releases National Income. **CSO + NSSO** merged into NSO in **2019**. Older keys naming CSO are historically true.
20. First NI estimate: **Dadabhai Naoroji** (1867–68; PCI about **Rs 20**). First **scientific** estimate: **V.K.R.V. Rao** (1931–32). **1949 National Income Committee** chaired by **P.C. Mahalanobis** (members Gadgil, V.K.R.V. Rao).
21. **High capital–output ratio (COR)** explains low growth despite high savings. Slow PCI also tracks **high population growth**.
22. **Household sector** dominates India’s gross domestic savings. Within household savings, **physical assets** usually outrank deposits / currency / shares.
23. Largest State economy by NSDP: **Maharashtra**. Lowest State PCI: **Bihar**. Highest PCI end: **Sikkim** (Goa among the top States).

24. **Economic and Social Planning** sits in the **Concurrent List (List-III)** of the Seventh Schedule — joint Centre–State domain.
25. **Planning Commission** was set up by **Cabinet resolution** on **15 March 1950**. It was **non-constitutional** and **non-statutory** — an advisory / quasi-political body.
26. **NITI Aayog** replaced the Planning Commission from **1 January 2015** by **Union Cabinet resolution**. It is a policy think tank — neither constitutional nor statutory.
27. **Prime Minister** is Chairperson of NITI Aayog. NITI has a full-time **Vice-Chairperson**, not a full-time Chairman.
28. First NITI Vice-Chairperson: **Arvind Panagariya** (Jan 2015–Aug 2017). First CEO: **Sindhushree Khullar**; Amitabh Kant followed; later CEO teaching tag includes **B.V.R. Subrahmanyam**.
29. NITI promotes **cooperative and competitive federalism**. It does **not** allocate old Plan funds the way the Planning Commission did.
30. NITI Governing Council includes the PM, Chief Ministers of States / UTs with legislatures, and Lt Governors of other UTs — **not State Governors** as a class.
31. **NITI Aayog** is the **nodal institution** for implementing the **Sustainable Development Goals (SDGs)** in India.
32. **DMEO** (Development Monitoring and Evaluation Office) was set up on **18 September 2015** as an **attached office of NITI Aayog** by merging **PEO** and **IEO**.
33. **NDC (National Development Council)** was constituted on **6 August 1952**. The **Prime Minister** is its ex-officio Chairman.
34. NDC's keyed role was **approval / review of Five-Year Plans** — the final plan-approval authority in the Planning Commission era. It has had little work since NITI's Governing Council, but no formal abolition resolution has closed it.
35. **Finance Commission** is **constitutional (Art. 280)**; Planning Commission was **non-constitutional**. FC focuses on tax devolution / grants; Planning reviewed both capital and revenue plan needs of States.
36. Five-Year Plans ran from the **First Plan (1951–56)** through the **Twelfth Plan (2012–17)** — the **last** FYP before NITI's vision–strategy–action style.
37. **First Plan** stressed agriculture, irrigation and power (**Harrod–Domar** influence teaching). Planned development model dates from **1 April 1951**.
38. **Second Plan (Mahalanobis)** stressed heavy / capital-goods industry, public-sector industry and a **socialistic pattern of society** (IPR 1956).
39. **Plan Holiday (1966–69)** meant three Annual Plans after war, drought and forex stress — not a Five-Year Plan.
40. **Fifth Plan** twin goals: **Garibi Hatao** (poverty removal) and **self-reliance** (zero net foreign aid teaching). It was terminated early (1978) by the Janata government.
41. **Eleventh Plan (2007–12)** — **Towards Faster and More Inclusive Growth**; GDP target **9%**; agri **4%**; industry ~**10–10.5%**; social sector largest combined expenditure share.
42. **Twelfth Plan (2012–17)** — **Faster, More Inclusive and Sustainable Growth**; NDC finally approved **8% GDP** (Approach had floated 9%); agri/forestry/fisheries **4%**; social services largest allocation share; infra investment ~**USD 1 trillion** teaching.
43. **Imperative planning** replaces the market with command hierarchy; **indicative planning** guides and improves the market — India's later mixed-economy style.
44. **LPG reforms (1991)** under **P.V. Narasimha Rao** (Finance Minister Manmohan Singh) — liberalisation, privatisation, globalisation response to BOP crisis.
45. An earlier **first phase of liberalisation / delicensing** is often tagged to **Rajiv Gandhi** (mid-1980s). Do not erase 1991 as the systemic LPG break.
46. **Rolling Plan (1978–80)** under the **Janata** government revised targets yearly. **Gunnar Myrdal** suggested Rolling Plans for backward countries; India used them as Annual Plans after rejecting the unfinished Fifth Plan.
47. **National Planning Committee (1938)** was set up by Congress President **Subhash Chandra Bose** with **Jawaharlal Nehru** as chairman.

48. **Bombay Plan (1944)** — industrialists including **J.R.D. Tata**, **G.D. Birla**, **Lala Shri Ram**, A. Dalal, Kasturbhai Lalbhai, A.D. Shroff, Purshottamdas Thakurdas, John Mathai. **Dhirubhai Ambani** was **not** among them.
49. **Gandhian Plan (1944)** by **Sriman Narayan Agarwal** stressed decentralisation, villages and cottage industries. **Mahatma Gandhi** opposed centralised planned development among the keyed options.
50. NITI full form: **National Institution for Transforming India**.

Must-score drill — plans and institutions

Item	Tag
Economic & Social Planning	Concurrent List (List-III)
Planning Commission	Cabinet resolution, 15 Mar 1950; advisory / quasi-political
Ashok Chandra tag	Planning Commission = Economic Cabinet
NDC	6 Aug 1952; PM Chair; final FYP approval
NITI start	1 Jan 2015; Cabinet resolution; PM Chair
First NITI VC / CEO	Arvind Panagariya / Sindhushree Khullar
DMEQ	Attached to NITI; 18 Sep 2015 (PEO+IEO)
SDG nodal	NITI Aayog
AIM	NITI Aayog
Imperative vs indicative	Command replaces market vs guides market
Gadgil–Mukherjee	Population 60% highest weight
1st Plan	Agriculture / irrigation; Harrod–Domar
2nd Plan	Heavy industry / Mahalanobis / socialistic pattern
Plan Holiday	1966–69
Rolling Plan	1978–80; Janata; Myrdal teaching
5th Plan	Garibi Hatao + self-reliance; ended early
7th Plan	Food, Work and Productivity
8th Plan	Human development core; infrastructure thrust
9th Plan	Growth with Social Justice and Equity; WCP
11th Plan	Inclusive growth; 2007–12
12th Plan	Faster, more inclusive and sustainable; 2012–17 last FYP
NPC 1938	Bose sets up; Nehru chairs
Bombay Plan 1944	Tata, Birla, Shri Ram... — not Dhirubhai Ambani
Gandhian Plan	Sriman Narayan Agarwal
Sarvodaya Plan	Jayaprakash Narayan
Vision 2020	S.P. Gupta Committee
Fiscal Health Index 2025	Odisha top; UP 45.9
Innovation Index 2019	Karnataka (major States)
National Income (old key)	NNP at factor cost
Mixed economy	Public + private
Hindu rate	Raj Krishna; NI/GDP ~3.5%
Base year (now)	2022–23 (from Feb 2026)

Item	Tag
NI release	NSO (MoSPI)
First NI / scientific NI	Naoroji / V.K.R.V. Rao
Lowest State PCI	Bihar
Largest State economy	Maharashtra

Topic 2 — Public Finance, Budget, Taxation and Fiscal Policy

Consolidated — 50 Must-Score Facts

1. **Public finance** studies how government raises revenue, spends, borrows and manages debt for public purposes.
2. **Revenue receipts** are regular, non-debt receipts — tax and non-tax — that do not create a liability or reduce assets.
3. **Capital receipts** include borrowings, disinvestment proceeds and recoveries of loans — they create a liability or reduce assets.
4. **Revenue expenditure** maintains services and does not create lasting assets (salaries, interest, subsidies, maintenance).
5. **Capital expenditure** creates assets or reduces liabilities (infrastructure, equity infusion, loan repayments as capital).
6. **Tax revenue** includes income tax, corporation tax, GST, customs and residual Union excise where applicable.
7. **Non-tax revenue** includes interest receipts, dividends / profits of PSUs, fees, fines and user charges.
8. The Union **Annual Financial Statement** (Budget) is laid under **Article 112**. State budgets parallel under **Article 202**.
9. Budget presents **Budget Estimates**, compares with **Revised Estimates**, and reports **Actuals** for the past year.
10. **Vote on Account** authorises interim spending when the full budget cannot be passed before the new year; an **Interim Budget** is a fuller pre-election presentation without a full-year policy reset in teaching.
11. Expenditure is **voted** (needs Lok Sabha grant) or **charged** on the Consolidated Fund (discussed but not voted item-wise in the same way — e.g. President's emoluments, debt interest, CAG salary teaching).
12. **Consolidated Fund of India — Article 266** — is the main treasury; appropriation needs parliamentary law.
13. **Public Account of India** — also under **Article 266** — holds money where government is banker / trustee (PF, deposits), not ordinary revenue.
14. **Contingency Fund of India — Article 267** — is an imprest at the President's disposal for unforeseen spending, later recouped from the Consolidated Fund.
15. **Revenue Deficit** = Revenue expenditure – Revenue receipts. It shows current income failing to cover current spending.
16. **Fiscal Deficit** = Total expenditure – (Revenue receipts + Non-debt capital receipts). It is the government's **net borrowing requirement**.
17. **Primary Deficit** = Fiscal deficit – Interest payments. It strips the legacy interest burden from the fiscal gap.
18. **Effective Revenue Deficit** = Revenue deficit – grants for creation of capital assets (teaching refinement used in Indian budget documents).
19. **Budget Deficit** in older teaching = Total expenditure – Total receipts including borrowings; modern stress sits on fiscal / revenue / primary deficits.
20. The **FRBM Act, 2003** institutionalises fiscal discipline, deficit / debt targets and mandatory fiscal-policy statements in Parliament.
21. The **N.K. Singh FRBM Review Committee** pushed a debt-anchor approach (about **60%** general government debt-to-GDP teaching split Centre / States) alongside deficit glide paths.
22. **Direct taxes** are levied on income / wealth of persons or companies (income tax, corporation tax, capital gains, etc.).
23. **Indirect taxes** are levied on goods and services and can be shifted in price (GST, customs, older VAT / excise / service tax).
24. A **progressive** tax raises the rate as the base rises. A **proportional** tax keeps a flat rate. A **regressive** tax hits lower incomes harder as a share of income.

25. Indian school keys often call the overall income-tax design **degressive**: slabs rise at first, then behave more proportional at the top — UKPCS has keyed **Degressive** for “tax system in India”.
 26. **GST** is a destination-based, multi-stage value-added tax on supply of goods and services.
 27. GST needed the **101st Constitutional Amendment**; rollout from **1 July 2017**.
 28. Dual GST: **CGST + SGST / UTGST** on intra-State supply; **IGST** on inter-State supply and imports.
 29. GST subsumed State VAT, Central excise (large parts), service tax, entry tax, octroi and related cascading levies — **not** income tax, corporation tax or ordinary property tax.
 30. **GST Council (Article 279A)** is chaired by the **Union Finance Minister**. Centre weight **one-third**, States together **two-thirds**; decisions need **three-fourths** weighted majority; quorum is **half**.
 31. **Customs duty** remains at the border for imports / exports outside the GST subsumption story. Residual **Central excise** survives on a few products (e.g. petroleum / tobacco teaching lane).
 32. The proposed **Direct Tax Code** in Indian teaching maps to **Income Tax** reform — not sales / excise / service tax.
 33. **Tobin tax** is a proposed levy on **foreign-exchange transactions** to curb short-term speculative flows.
 34. **Finance Commission — Article 280** — is a **constitutional** body. The President constitutes it every fifth year or earlier.
 35. FC composition: **one Chairman + four other members** appointed by the President.
 36. **Parliament by law** fixes qualifications and selection manner (**Finance Commission (Miscellaneous Provisions) Act, 1951**). The President does **not** “determine qualifications”.
 37. The FC **recommends to the President** (Article 280(3)); the President causes the report to be laid in Parliament (**Article 281**). It does **not** report to NITI Aayog.
 38. Core FC duties: vertical / horizontal tax devolution; principles of **grants-in-aid** (Art. 275 lane); measures to augment State Consolidated Funds for local bodies on State FC advice; any other matter referred by the President.
 39. **First Finance Commission** — Chairman **K.C. Neogy** (constituted early 1950s teaching; first award period begins 1952–57 lane).
 40. Vertical devolution landmarks: **14th FC (Y.V. Reddy)** raised States’ share of the divisible pool to **42%**; **15th FC (N.K. Singh)** worked with **41%** after the J&K reorganisation adjustment teaching.
 41. FC chairmen spine: **11th A.M. Khusro · 12th C. Rangarajan · 13th Vijay Kelkar · 14th Y.V. Reddy · 15th N.K. Singh**.
 42. **State Finance Commissions** (Arts. **243-I / 243-Y**) review Panchayat / Municipality finances; Union FC uses their recommendations when suggesting local-body resource support.
 43. **Article 112** mandates the Annual Financial Statement (Union Budget) laid before Parliament each financial year.
 44. **Consolidated Fund of India (Art. 266(1))** holds all revenues, loans raised and repayments; withdrawals need appropriation.
 45. **Public Account (Art. 266(2))** holds provident funds, deposits and remittances — not subject to parliamentary appropriation like CFI.
 46. **Contingency Fund (Art. 267)** is an imprest for unforeseen expenditure, later recouped from the Consolidated Fund.
 47. **Revenue deficit** = revenue expenditure – revenue receipts; it shows living beyond current income.
 48. **Primary deficit** = fiscal deficit – interest payments; it shows the deficit excluding past debt-service burden.
 49. **Effective Revenue Deficit** adjusts revenue deficit for grants used for capital-asset creation.
 50. **FRBM Act 2003** sets fiscal-responsibility targets; **N.K. Singh Committee** reviewed the FRBM framework.
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Must-score drill — funds, deficits, FC, GST

Item	Tag
CFI / Public Account	Art. 266
Contingency Fund	Art. 267
Budget (Union)	Art. 112
FC	Art. 280; Chair + 4; report to President
FC qualifications	Parliament / 1951 Act
First FC Chair	K.C. Neogy
14th / 15th share	42% / 41%
GST Amendment	101st; 1 July 2017
GST Council	Art. 279A; Union FM chairs
Fiscal deficit	TE – (RR + NDCR)
Primary deficit	FD – interest
FRBM	2003
DTC related to	Income Tax
Tobin tax	Forex transactions
AFS laid by	FM on behalf of President
Demand for grant	President's recommendation
Macro Framework Statement	FRBM Act
Gender Budget start	2005–06
Fiscal vs monetary	MoF vs RBI
Policy / Token Cut	₹1 / ₹100
Interest payments	Largest revenue-exp item (usual)
Railway + Plan/Non-Plan reform	Budget 2017–18
GST proposed by	Kelkar FRBM Task Force
Outside GST	Customs; alcohol; electricity; petroleum (until notified)
Saksham	CBIC indirect-tax network
AIDC products (2021–22)	29
Chakravyuha	Marketism without exit

Topic 3 — Money, Banking, RBI and Financial System

Consolidated — 50 Must-Score Facts

1. **Money** is anything generally accepted as a medium of exchange, a unit of account, a store of value and a standard of deferred payment.
2. **Narrow money (M1)** in Indian teaching centres on currency with the public + demand deposits + other deposits with RBI (classic list).
3. **Broad money (M3)** adds time deposits of banks to the narrow base — the most-watched aggregate in school keys.
4. **Commercial banks** accept deposits, give loans and create credit within reserve rules.
5. India's banking map: **public sector banks**, private banks, foreign banks, **cooperative banks**, **Regional Rural Banks**, **Small Finance Banks**, **Payments Banks**, and Local Area Banks in older lists.
6. **Bank nationalisation: 14 major banks on 19 July 1969; 6 more in 1980** — directed credit, branch expansion and priority lending followed.
7. **Regional Rural Banks (1975)** combine local feel with commercial-bank discipline for small / marginal farmers, artisans and rural labour.
8. **NABARD (12 July 1982)** is the apex **refinance and development** bank for agriculture and rural credit — not the day-to-day retail lender of first resort in the usual key.
9. Rural-credit chronology: **RRBs (1975) → NABARD (1982) → SHG–Bank Linkage (1992) → Kisan Credit Card (1998)**.
10. **Lead Bank Scheme (1969)** assigns one bank lead responsibility for a **district** (area approach after Gadgil / Nariman teaching).
11. **Priority Sector Lending (PSL)** steers bank credit to agriculture, MSME, education, housing, weaker sections and related notified categories.
12. **NPA (Non-Performing Asset)**: a loan where interest / principal stays overdue beyond the prescribed period (90-day teaching for term loans). Gross vs net NPA and provisioning are supervision keys.
13. **Payments Banks** take deposits (subject to limits), provide payments / remittance services and issue debit cards / prepaid instruments — they **cannot** give ordinary loans or issue credit cards in the classic licence design.
14. **Small Finance Banks** are full banks with a mandate to lend mainly to unserved / underserved segments (SFB licence differs from payments banks).
15. **Digital banking / UPI**: Unified Payments Interface enables real-time account-to-account payments on phones; FinTech rides on bank rails, NPCI systems and RBI authorisations.
16. **PMJDY (2014)** and business-correspondent / BC models are modern inclusion instruments after the nationalisation–RRB–Lead Bank phase.
17. **RBI** was set up on **1 April 1935** under the **RBI Act, 1934**, and nationalised on **1 January 1949**.
18. Core RBI roles: **monetary authority, issuer of banknotes, banker and debt manager to government, bankers' bank / lender of last resort, regulator / supervisor of banks, manager of foreign exchange** (FEMA lane).
19. **Monetary Policy Committee (MPC)** — six members (three from RBI including the Governor as Chair; three external, appointed by the Central Government) — decides the **policy repo** and related policy stance.
20. Flexible **inflation targeting**: headline CPI **4%** with a tolerance band of **±2%** (target notified by government in consultation with RBI).
21. **Repo rate**: rate at which RBI lends short-term funds to banks against eligible collateral (injects liquidity when used).
22. **Reverse repo / SDF**: rates at which RBI absorbs liquidity from banks; **SDF (2022)** does so without collateral securities.

23. **CRR (Cash Reserve Ratio)**: share of NDTL kept as cash balance with RBI — earns **no** interest in the post-2007 teaching.
 24. **SLR (Statutory Liquidity Ratio)**: share of NDTL held in approved liquid assets (G-Secs, cash, gold teaching) by the bank itself.
 25. **MSF (Marginal Standing Facility)**: overnight borrowing window against G-Secs, including dipping into SLR within limits — a safety valve above the repo.
 26. **Open Market Operations (OMO)**: RBI buys / sells government securities to inject / absorb durable liquidity.
 27. **Financial inclusion** means affordable access to useful formal financial services for all, especially the underbanked.
 28. **Microfinance / SHG–bank linkage** brings group savings and credit into formal banking; NABARD pioneered the large SHG programme.
 29. **Basel norms** set capital adequacy and risk-management standards for banks under RBI supervision.
 30. **SBI** was created by nationalising the Imperial Bank (1955 teaching).
 31. Major bank nationalisation waves: **1969** (14 banks) and **1980** (6 banks).
 32. **RRBs** began in **1975** (Prathama Bank teaching) for rural credit reach.
 33. **NABARD (12 July 1982)** refinances rural credit on the Sivaraman Committee line.
 34. **SHG–Bank Linkage** (NABARD, 1992 teaching) scaled group-based microcredit.
 35. **KCC (1998)** followed the R.V. Gupta Committee for flexible farm credit.
 36. **SHG–Bank Linkage** was pioneered by **NABARD** (pilot **1992–93**), not by SBI alone; RRBs and Scheduled Commercial Banks are key financing partners.
 37. **Bhandari Committee (1994)** recommended restructuring of **Regional Rural Banks**.
 38. **Narasimham Committee** (CFS **1991**; Banking Sector Reforms **1998**) drove financial / banking structure reforms; it suggested reducing **SLR and CRR**.
 39. **Raghuram Rajan Committee (2007–08)** proposed the next generation of **financial sector reforms** (Planning Commission).
 40. **Financial Stability and Development Council (FSDC, Dec 2010)** is chaired by the **Union Finance Minister** — not an organ of NITI Aayog; it monitors macroprudential supervision and inter-regulator coordination.
 41. **Swabhimaan (10 Feb 2011)** is a financial-inclusion campaign to take basic banking to unbanked villages (population >2000 teaching).
 42. **Kisan Credit Card (1998)** covers both **consumption and investment** credit for farm households; implemented by commercial banks, RRBs, SFBs and cooperatives.
 43. **Banking Ombudsman** is appointed by **RBI**; service is free; NRIs with Indian accounts may complain; Ombudsman orders are **not** final and binding without further remedy.
 44. Credit rating agencies in India are regulated by **SEBI** (not RBI). **CRISIL (1987)** → **ICRA (1991)** → **CARE (1993)** chronology.
 45. **‘Plastic money’ / ‘Smart money’** teaching tags point to **credit cards** (and related card instruments).
 46. **UPI = Unified Payments Interface** (NPCI); PIN = **Personal Identification Number**.
 47. **Sovereign Gold Bond** and **Gold Monetisation Scheme (2015)** aim to mobilise idle household gold and cut gold-import dependence — **not** primarily to promote FDI in jewellery.
 48. **₹1 note / coin** sits with the Government of India in teaching; other banknotes are issued by RBI.
 49. **M0 (Reserve Money)** = currency in circulation + bankers’ deposits with RBI + other deposits with RBI (teaching identity).
 50. **Fiat money** has value by legal tender / trust, not by intrinsic metal content. **Commodity money** and **representative money** are older teaching types.
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Must-score drill — RBI tools and rural credit

Item	Tag
RBI start / nationalisation	1935 / 1949
Note issue	RBI (except ₹1 Govt)
MPC	6 members; Governor chairs; CPI 4% ± 2%
Repo / CRR / SLR / MSF / OMO	Inject-tighten map
Nationalisation	1969 (14) + 1980 (6)
RRBs	1975
NABARD	1982; apex agri refinance
Chronology	RRB → NABARD → SHG (1992) → KCC (1998)
Lead Bank Scheme	1969; district lead bank
Payments Bank	Deposits + payments; no loans / credit cards
UPI	Unified Payments Interface; real-time rail
Narasimham	Banking / financial reforms; cut SLR & CRR
Bhandari	RRB restructuring (1994)
FSDC	Finance Minister chairs; 2010
Swabhimaan	Rural banking inclusion (2011)
CRA regulator	SEBI (CRISIL → ICRA → CARE)
Plastic / smart money	Credit card teaching tag

Topic 4 — Inflation, Prices, Savings, Investment and Markets

Consolidated — 50 Must-Score Facts

1. **Inflation** is a sustained rise in the general price level, which cuts the purchasing power of money.
2. **Deflation** is a sustained fall in the general price level.
3. **Disinflation** is a fall in the **rate** of inflation (prices may still rise, but more slowly).
4. **Stagflation** is high inflation together with stagnant growth / high unemployment — hard for simple demand tools.
5. **Demand-pull inflation** rises when aggregate demand outruns supply at near-full capacity.
6. **Cost-push inflation** rises when input costs (wages, fuel, imported inputs) push prices up.
7. **Bottleneck / structural inflation** comes from supply bottlenecks and weak distribution — tough for demand management alone.
8. **Headline inflation** covers the full basket, including food and energy.
9. **Core inflation** excludes volatile food and fuel to show underlying pressure.
10. In India, **retail / headline inflation** for policy is measured by the **Consumer Price Index (Combined)**.
11. **CPI** is compiled by the **National Statistical Office (NSO)** under **MoSPI**.
12. Segment CPIs in older teaching include CPI-IW, CPI-AL / RL (Labour Bureau lane) — Combined CPI is the all-India headline key.
13. **WPI (Wholesale Price Index)** tracks wholesale / producer-level goods prices and **excludes services**.
14. **WPI** is released by the **Office of the Economic Adviser, DPIIT, Ministry of Commerce and Industry** (base year teaching often **2011–12**).
15. **GDP deflator** = $(\text{Nominal GDP} / \text{Real GDP}) \times 100$ — a broad output-price measure, not the usual retail-inflation key.
16. **IIP** measures industrial production volume — not an inflation index.
17. Inflation **benefits debtors** (real burden of fixed debt falls) and hurts **creditors / bondholders / fixed-income** groups whose real receipts erode.
18. Moderate inflation can coexist with growth; very high inflation damages savings, contracts and planning.
19. Control mix: monetary tightening (Topic 3 tools), fiscal restraint, supply-side fixes (logistics, stocks, imports), and administrative measures on essentials.
20. **Savings** = income not consumed. **Household financial savings** sit in deposits, shares, insurance, pensions and small savings.
21. **Investment / capital formation** builds physical and related productive assets (machinery, structures, inventories teaching).
22. **Gross capital formation** is the flow of investment in a period; **gross domestic savings** finance it from domestic sources (plus foreign saving).
23. The **household sector** dominates India's gross domestic savings; within household savings, **physical assets** usually lead deposits / currency / shares.
24. **High capital-output ratio** can keep growth low even when savings and capital formation look high (Topic 1 neighbour).
25. Capital-formation data: **RBI + CSO/NSO** (K.N. Raj committee roles).
26. In a closed-economy identity teaching, **S = I** in equilibrium; open economy adds net foreign capital.
27. **Financial markets** channel savings to investment through instruments and intermediaries.
28. **Money market**: short-term funds (T-bills, commercial paper, call money, certificates of deposit teaching).
29. **Capital market**: longer-term funds — **equity** (shares) and **debt** (bonds / debentures).
30. **Primary market** issues new securities; **secondary market** trades existing ones (liquidity for investors).

31. **SEBI** regulates the securities market — exchanges, brokers, mutual funds, listed companies (capital-market depth here; one-line in Topic 11).
32. **Mutual funds** pool investors' money into portfolios of securities under SEBI norms; NAV reflects portfolio value.
33. **Insurance** products (life / general) are market savings / risk tools; **IRDAI** is the sector regulator (list depth in Topic 11).
34. **NPS (National Pension System)** is a market-linked pension architecture under PFRDA supervision teaching.
35. **Bonds** are debt instruments; rising inflation / rates typically hurt existing fixed-coupon bond prices.
36. **Equity** offers residual ownership claims; returns are not contractually fixed like many bonds.
37. **Financial literacy** is the ability to understand products, risk, inflation and compounding for better household decisions.
38. **Real interest rate** $\approx$ nominal rate – inflation — when inflation exceeds the nominal rate, real returns turn negative.
39. **Hyperinflation** is extremely rapid inflation that destroys money's store-of-value role (rare teaching extreme).
40. **Reflation** is policy aimed at raising prices / demand after a deflationary or weak spell.
41. Imported inflation rises when foreign prices or a weaker rupee lift domestic costs of imports.
42. Wage–price spiral teaching: wages chase prices and prices chase wages.
43. Indexation (DA, some contracts) adjusts payments to inflation so real incomes / obligations stay closer to intended levels.
44. **Creeping inflation** is a mild rise (often taught as under ~3%); it can coexist with growth.
45. **Walking / trotting inflation** is the moderate warning band in school lists.
46. **Running / galloping / hyperinflation** marks rapid to out-of-control price rises.
47. **Demand-pull inflation** = too much money chasing too few goods at high capacity.
48. **Cost-push inflation** = supply shocks (oil, wages, raw materials) raise unit costs.
49. **Structural inflation** in India teaching stresses bottlenecks, storage and marketing rigidities.
50. During inflation, **debtors gain** and **creditors lose** in real terms.

Must-score drill — indices and effects

Item	Tag
Retail / headline inflation	CPI (Combined)
CPI publisher	NSO / MoSPI
WPI publisher	MoC&I (OEA, DPIIT)
Core inflation	Ex-food & fuel
RBI target index	CPI
Debtors vs creditors	Debtors gain; bondholders hurt
Bottleneck inflation	Supply / distribution constraints
Money vs capital market	Short vs long term
SEBI	Securities regulator
S = I teaching	Savings finance investment

Topic 5 — Agriculture and Indian Agricultural Economy

Consolidated — 50 Must-Score Facts

1. Agriculture and allied sectors contribute approximately **17%–18% of India's Gross Value Added (GVA)** at current prices, but engage **~45%–47% of the nation's total workforce**.
2. According to the **Agricultural Census of India** (conducted quinquennially since 1970–71), agricultural holdings are classified into 5 categories: **Marginal (< 1.00 ha)**, **Small (1.00–2.00 ha)**, **Semi-Medium (2.00–4.00 ha)**, **Medium (4.00–10.00 ha)**, and **Large (≥ 10.00 ha)**.
3. **Small and Marginal Farmers (SMFs, holding < 2.0 ha)** account for **~86.2% of all operational land holdings** in India, but operate only **~47.3% of the total operated area**.
4. **Marginal holdings (< 1.0 ha)** alone constitute **68.5%** of all agricultural land holdings in India, with an average operational size of just **0.38 hectare**.
5. The all-India average size of operational land holdings has consistently declined from **2.28 hectares in 1970–71** to **1.08 hectares in 2015–16** due to generational land subdivision and population pressure.
6. The state having the **highest average size of operational land holdings** in India is **Nagaland** (~5.06 ha) followed by **Punjab** (~3.62 ha) and **Rajasthan** (~2.73 ha); **Kerala** has among the lowest (~0.18 ha).
7. India is divided into **15 broad Agro-Climatic Zones** by the Planning Commission (1988) based on physiography, climate, soil, and cropping patterns; ICAR under NARP classifies India into **127 Agro-Climatic Zones** (and Uttar Pradesh into **9 zones**).
8. **Kharif crops (खरीफ)** are sown with the onset of the South-West Monsoon in **June–July** and harvested in **September–October**; major crops include **Rice, Maize, Jowar, Bajra, Cotton, Jute, Groundnut, Soybean, Tur/Arhar, Urad, and Moong**.
9. **Rabi crops (रबी)** are sown in **October–November** (winter onset) and harvested in **March–April** (spring); major crops include **Wheat, Barley, Gram (चना), Mustard (सरसों), Linseed (अलसी), Peas (मटर), and Potato**.
10. **Zaid crops (जायद)** are short-duration summer crops grown from **March to June** between Rabi harvest and Kharif sowing; predominantly include cucurbitaceous crops: **Watermelon (तरबूज), Muskmelon (खरबूजा), Cucumber (खीरा), Bitter gourd (करेला), Moong, and leafy vegetables/fodder**.
11. India is the **world's largest producer of Milk, Pulses, Jute, and Spices**; and the **second-largest producer of Rice, Wheat, Sugarcane, Groundnut, Vegetables, Fruits, and Cotton** (after China).
12. India is the **largest exporter of Rice** in the world (accounting for ~40% of global rice trade), but is the **largest importer of Pulses and Vegetable Edible Oils**.
13. **Rice (चावल)** is the **most cultivated crop in India**, occupying the largest gross cropped area (~47 million hectares); **West Bengal** is the largest producer of Rice, while **Punjab** has the highest per-hectare productivity.
14. **Wheat (गेहूं)** is the second most important cereal crop in India, occupying ~31 million hectares; **Uttar Pradesh** is the largest producer of Wheat in terms of total absolute output, while **Punjab** records the highest yield/productivity per hectare.
15. **Shree Anna (श्री अन्न / Millets)** was championed by India, leading the UN to declare **2023 as the International Year of Millets**; **Rajasthan** is the largest producer of **Bajra** (Pearl Millet), while **Karnataka/Maharashtra** lead in **Jowar** (Sorghum).
16. Among pulses, **Gram (चना)** accounts for the largest share (~45%–50% of total pulse production in India); **Madhya Pradesh** is the largest pulse-producing state in India.
17. In oilseeds, **Soybean** and **Groundnut** lead production; **Madhya Pradesh & Maharashtra** lead in Soybean, **Gujarat** leads in Groundnut, and **Rajasthan** leads in Rapeseed & Mustard.
18. **Sugarcane (गन्ना)** is a perennial tropical cash crop; **Uttar Pradesh** is the largest producer of Sugarcane and Sugar in India, but Maharashtra and Tamil Nadu record higher sucrose content and recovery rates due to maritime tropical climate.

19. **Cotton (कपास - White Gold)** is predominantly grown in the black regur soil of the Deccan plateau; **Gujarat** and **Maharashtra** are the top producing states.
20. In Net Irrigated Area across India, the source-wise share is: **Tube-wells & Wells (~62%–64%)**, followed by **Canals (~23%–25%)**, and **Tanks (~3%–4%)**.
21. **Uttar Pradesh** possesses the largest canal network and largest tube-well irrigated area in absolute terms in India; **Tamil Nadu and Andhra Pradesh** lead in **Tank irrigation**.
22. The **Pradhan Mantri Krishi Sinchayee Yojana (PMKSY)** was launched in **2015** with the motto "*Har Khet Ko Pani*" and "*Per Drop More Crop*" (focused on micro-irrigation: drip and sprinkler).
23. The ideal, scientifically balanced consumption ratio of **NPK fertilizers** is **4 : 2 : 1 (N:P:K)**; in high-subsidy states like Punjab and Haryana, the actual consumption ratio has severely skewed to over **8 : 3 : 1**.
24. **Urea** is the **ONLY** fertilizer whose **Maximum Retail Price (MRP) is statutorily fixed** by the Central Government; the difference between the normative delivered cost and the controlled MRP is paid as subsidy directly to manufacturers.
25. **Neem Coated Urea (NCU)** was made **100% mandatory** for all indigenous and imported agricultural urea in **2015**; it prevents illegal diversion to chemical industries and improves Nitrogen Use Efficiency (NUE) by slowing degradation.
26. The **Nutrient Based Subsidy (NBS)** scheme was introduced on **1 April 2010** for non-urea P&K fertilizers (**DAP, MOP, Complex fertilizers**), where government fixes an annual per-kg subsidy based on nutrient content (N, P, K, S), while MRPs are decontrolled.
27. India is **100% import-dependent** for **Potassic fertilizers (Muriate of Potash - MOP)** as India has no commercially exploitable potash reserves.
28. The world's first commercial **Nano Liquid Urea** and **Nano DAP** plants were established by **IFFCO** at **Kalol, Gujarat**.
29. **PM-PRANAM** (PM Programme for Restoration, Awareness, Nourishment and Amelioration of Mother Earth) was announced in Union Budget 2023–24 to incentivise states to promote alternative fertilizers and reduce chemical fertilizer usage.
30. **Sikkim** was formally declared India's and the world's **First 100% Organic State** in **January 2016**; **Lakshadweep** is the first 100% Organic Union Territory (2020).
31. **Zero Budget Natural Farming (ZBNF)** was pioneered in India by Padma Shri **Subhash Palekar**; it relies on 4 core pillars: **Jeevamrutha** (microbial culture), **Bijamrutha** (seed treatment), **Acchadana** (mulching), and **Whapasa** (soil moisture aeration).
32. In institutional agricultural credit flow, **Commercial Banks** account for the overwhelming majority (**~75%–78%**), followed by **Regional Rural Banks (~12%–14%)** and **Cooperative Banks (~10%–12%)**.
33. Under the **Priority Sector Lending (PSL)** norms of the RBI, domestic scheduled commercial banks and foreign banks with ≥ 20 branches must allocate **18% of Adjusted Net Bank Credit (ANBC)** or Credit Equivalent of Off-Balance Sheet Exposure (CEOBE) to the **Agricultural sector** (with **10% specifically sub-targeted to Small and Marginal Farmers**).
34. The **National Bank for Agriculture and Rural Development (NABARD)** was established on **12 July 1982** under the NABARD Act, 1981, upon the recommendations of the **B. Sivaraman Committee (CRAFICARD)**, taking over the functions of the ACD and RPCC of RBI and the ARDC.
35. The **Rural Infrastructure Development Fund (RIDF)** was instituted within NABARD in **1995–96** to finance rural infrastructure projects of State Governments using the PSL shortfall of commercial banks.
36. The **Kisan Credit Card (KCC)** scheme was formulated by NABARD in **August 1998** on the recommendations of the **R.V. Gupta Committee** to provide timely, flexible short-term credit to farmers for crop production, post-harvest expenses, and working capital.
37. In 2018–19, the Government of India extended the **Kisan Credit Card (KCC) facility to Fisheries and Animal Husbandry farmers** to meet their working capital requirements.

38. The **Pradhan Mantri Fasal Bima Yojana (PMFBY)** was launched in **February 2016** (effective Kharif 2016), replacing NAIS and MNAIS; it charges a uniform low premium of **2.0% for Kharif crops, 1.5% for Rabi crops, and 5.0% for Annual Commercial & Horticultural crops**, with the balance actuarial premium subsidized 50:50 by the Centre and States.
39. The **Commission for Agricultural Costs and Prices (CACP)** was established in **January 1965** (initially as the *Agricultural Prices Commission* until renamed in 1985); it functions as an advisory body under the Ministry of Agriculture.
40. The CACP recommends Minimum Support Prices (MSP) for **22 mandated agricultural crops** (14 Kharif, 6 Rabi, 2 commercial: Jute and Copra) and Fair & Remunerative Price (FRP) for **Sugarcane**; the final decision is taken by the **Cabinet Committee on Economic Affairs (CCEA)** chaired by the Prime Minister.
41. The **National Commission on Farmers (NCF)**, set up in 2004 under **Prof. M.S. Swaminathan**, recommended in its 5th report (2006) that the MSP should be fixed at least **50% above the comprehensive cost of production (Cost C2 + 50%)**.
42. The Central Government officially calculates the 1.5x MSP benchmark against the **Cost A2 + FL** formula (Paid-out costs + imputed family labor value), whereas farmer unions demand MSP based on the higher **Cost C2** (which also includes imputed land rent and interest on owned capital assets).
43. **Electronic National Agriculture Market (e-NAM)** was launched on **14 April 2016** as a pan-India electronic trading portal networking existing APMC mandis to create a unified national market for agricultural commodities; it is managed by the **Small Farmers' Agri-Business Consortium (SFAC)**.
44. The Central Sector Scheme for **Formation and Promotion of 10,000 Farmer Producer Organisations (FPOs)** was launched in **2020** with a total budgetary outlay of ₹6,865 crore to achieve economies of scale for small and marginal farmers.
45. Under the **Model APMC Act 2003** and the **APLM Act 2017**, states are encouraged to allow private wholesale markets, direct purchase from farmers, establishment of e-trading platforms, and exemption of fruits and vegetables from mandi fees.
46. The **APEDA** (Agricultural and Processed Food Products Export Development Authority) was established by an Act of Parliament in **December 1985** under the **Ministry of Commerce and Industry** to promote export of agricultural and processed food products.
47. **MPEDA** (Marine Products Export Development Authority) was constituted in **1972** under the Ministry of Commerce and Industry to promote marine and seafood exports.
48. **Operation Flood (ऑपरेशन फ्लड)** was launched in **1970** by the National Dairy Development Board (NDDB) under **Dr. Verghese Kurien** (Father of White Revolution in India), transforming India from a milk-deficient nation into the world's largest milk producer through the Anand cooperative pattern (AMUL).
49. In the **WTO Agreement on Agriculture (AoA)**, domestic agricultural subsidies are categorized into three color-coded boxes: **Green Box** (non-trade distorting, allowed without limit, e.g. R&D, pest control, environment), **Blue Box** (direct payments under production-limiting programs, allowed), and **Amber Box** (trade-distorting market price support and input subsidies, subject to reduction commitments).
50. Under WTO Amber Box rules, developing countries like India are entitled to a **de-minimis limit of 10%** of the total value of agricultural production; the **Peace Clause** agreed at the **Bali Ministerial Conference (2013)** protects India's food procurement programs under NFSA against legal challenges by developed nations even if the 10% ceiling is breached.
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Must-score facts — Crops, Seasons, Inputs, and Committees

Cropping Seasons in India (शस्य ऋतुएं)

Season	Sowing Period	Harvesting Period	Major Crops Grown	Climatic Requirements & Regional Spread
Kharif (खरीफ)	June – July (Onset of South-West Monsoon)	September – October (Autumn)	Rice (धान), Maize (मक्का), Jowar, Bajra, Cotton, Jute, Groundnut, Soybean, Arhar/Tur, Urad, Moong	High temperature, high humidity, abundant rainfall (100–200 cm). Pan-India coverage.
Rabi (रबी)	October – November (Onset of Winter)	March – April (Spring / Early Summer)	Wheat (गेहूं), Barley (जौ), Gram (चना), Mustard (सरसों), Linseed (अलसी), Peas (मटर), Potato (आलू)	Cool growing season, bright warm sunshine at ripening. Benefited by Western Disturbances in NW India.
Zaid (जायद)	March – April (Summer onset)	May – June (Pre-monsoon harvest)	Watermelon, Muskmelon, Cucumber, Bitter gourd, Moong, Fodder crops	Warm dry weather, continuous irrigation required. River basins and canal command tracts.

Landmark Committees in Agricultural Finance & Policy

Committee / Commission	Constituted Year	Key Mandate	Landmark Recommendation / Contribution
All-India Rural Credit Survey Committee (Gorwala)	1951 (Report 1954)	Rural credit structure review	Recommended creation of State Bank of India (SBI) by nationalizing Imperial Bank to spearhead rural banking.
B. Sivaraman Committee (CRAFICARD)	1979 (Report 1981)	Institutional credit arrangements for agriculture	Recommended creation of NABARD (established 12 July 1982) as apex rural refinancing institution.
R.V. Gupta Committee	1997 (Report 1998)	Simplification of agricultural credit delivery	Recommended formulation of the Kisan Credit Card (KCC) scheme (launched Aug 1998).
Prof. M.S. Swaminathan Committee (NCF)	2004 (5 Reports, 2004–06)	National Commission on Farmers	Recommended that MSP must be at least Cost C2 + 50% , asset protection, and farm credit interest rate cap at 4%.
Dr. Ashok Dalwai Committee	2016 (Report 2018)	Doubling Farmers' Income by 2022	Recommended shift from “production-centric” to “income-centric” agriculture, promoting FPOs, secondary agri, e-NAM.

Topic 6 — Agricultural Policies, Schemes, MSP and Revolutions

Consolidated — 50 Must-Score Facts

1. The **Green Revolution** (from about **1966–69**) brought semi-dwarf High Yielding Variety (HYV) wheat developed by **Dr. Norman Borlaug** at CIMMYT, Mexico.
2. In India the Green Revolution was pioneered by **Dr. M.S. Swaminathan** with Union Agriculture Minister **C. Subramaniam**.
3. The first wave concentrated on **wheat and rice** in **Punjab, Haryana, and Western Uttar Pradesh**.
4. Key early wheat lines included **Lerma Rojo 64A, Sonora 64**, and Indian derivatives **Kalyan Sona** and **Sonalika**.
5. The rice variety **IR-8** ("Miracle Rice") came from IRRI (Philippines) and entered India around **1966**.
6. Green Revolution success rested on three pillars: **HYV seeds, chemical fertilizers, and assured irrigation**.
7. Later critiques stressed regional bias, crop bias toward wheat–rice, class inequality, groundwater stress, and chemical dependency.
8. The **Evergreen Revolution** idea, coined by **Dr. M.S. Swaminathan**, means productivity growth without ecological harm.
9. **Dr. M.S. Swaminathan** was awarded the **Bharat Ratna** in **2024** (posthumous).
10. The **White Revolution** is the dairy/milk drive led by **Dr. Verghese Kurien** ("Milkman of India").
11. **Operation Flood** was launched in **1970** by the **National Dairy Development Board (NDDB)** on the Amul cooperative model.
12. **NDDB** was established in **1965** at **Anand, Gujarat** — five years before Operation Flood.
13. Operation Flood Phase I (**1970–81**) used sale proceeds of European Community donated milk powder and butter oil to link the Anand pattern with major metro milk sheds.
14. Phase II (**1981–85**) expanded milk sheds and urban markets; Phase III (**1985–96**) consolidated the National Dairy Grid.
15. India became the **world's largest milk producer** through this cooperative dairy grid.
16. The **Yellow Revolution** is the oilseeds surge (mustard, sunflower, groundnut) under the **Technology Mission on Oilseeds (1986)** associated with **Sam Pitroda**.
17. The **Blue Revolution** covers fisheries and aquaculture; pioneers include **Dr. Hiralal Chaudhuri** and **Dr. Arun Krishnan**.
18. The **Golden Revolution** covers horticulture, honey, and fruits (**1991–2003**), associated with **Nirpakh Tutej**.
19. The **Golden Fibre Revolution** is **jute**; the **Silver Fibre Revolution** is **cotton**.
20. The **Silver Revolution** is eggs and poultry expansion, promoted in the Indira Gandhi era.
21. The **Pink Revolution** covers onion, pharmaceuticals, and meat/prawn exports, associated with **Durgesh Patel**.
22. The **Red Revolution** covers meat and tomato production, associated with **Vishal Tewari**.
23. The **Grey Revolution** is chemical fertilizer expansion; the **Round Revolution** is potato (CPRI, **Kufri, Shimla**).
24. The **Rainbow Revolution** is the umbrella push for simultaneous growth of crops, livestock, forestry, and fisheries (National Agriculture Policy, 2000).
25. The **Sweet Revolution** is beekeeping and honey (National Beekeeping & Honey Mission) — not sugarcane.
26. The **Commission for Agricultural Costs and Prices (CACP)** began in **January 1965** as the Agricultural Prices Commission and was renamed CACP in **1985**.
27. CACP is an **advisory** body under the Ministry of Agriculture & Farmers Welfare; it recommends MSP in Price Policy Reports.
28. Final MSP approval is taken by the **Cabinet Committee on Economic Affairs (CCEA)** chaired by the Prime Minister.
29. CACP recommends MSP for **22 mandated crops: 7 cereals, 5 pulses, 7 oilseeds, and 3 commercial crops**.
30. The **7 cereals** are paddy, wheat, maize, jowar, bajra, ragi, and barley.

31. The **5 pulses** are gram, tur/arhar, moong, urad, and lentil (masur).
32. The **7 oilseeds** are groundnut, rapeseed/mustard, soybean, sesamum, sunflower, safflower, and nigerseed.
33. The **3 commercial crops** are copra, raw cotton, and raw jute.
34. **Palm oil** is not among the 22 MSP crops; it uses a **Viability Price** under NMEO-OP.
35. **Cost A₂** covers paid-out cash and kind costs (seed, fertilizer, pesticide, hired labour, fuel, irrigation, lease rent for leased-in land).
36. **Cost A₂ + FL** equals A₂ plus the **imputed value of unpaid family labour**.
37. **Cost C₂** equals A₂ + FL plus **imputed rent of owned land** and **interest on owned fixed capital** (excluding land).
38. The Swaminathan National Commission on Farmers (**2006**) recommended MSP at least **C₂ + 50%**.
39. From Union Budget **2018–19**, the Government's stated MSP benchmark is at least **1.5 × (A₂ + FL)** for mandated crops.
40. **Fair and Remunerative Price (FRP)** is the statutory floor for **sugarcane** under the **Sugarcane (Control) Order, 1966**, on CACP advice.
41. FRP is linked to a basic sugar recovery rate (commonly cited around **10.25%**), with a premium for higher recovery.
42. **State Advised Price (SAP)** is announced by some States (notably UP, Haryana, Punjab) and is typically **higher than FRP**.
43. Uttar Pradesh accounts for roughly **45%–50%** of India's sugarcane and has the densest sugar-mill belt; SAP there is binding on mills.
44. The **Food Corporation of India (FCI)** was set up under the Food Corporations Act, **1964**, and began work on **14 January 1965** (first office Thanjavur; HQ New Delhi).
45. FCI's core mandates are price support procurement, TPDS distribution, and buffer/operational stocks for national food security.
46. **Economic cost** of foodgrain to FCI = pooled acquisition cost (MSP) + procurement incidentals + distribution cost.
47. **Food subsidy** ≈ economic cost – **Central Issue Price (CIP)**.
48. **Open Market Sale Scheme (OMSS)** lets FCI sell surplus wheat/rice by e-auction to cool open-market prices.
49. Buffer stock norms fix minimum FCI inventories at the start of each quarter (**1 Jan, 1 Apr, 1 Jul, 1 Oct**).
50. FCI mainly procures **wheat and rice**; pulses and oilseeds under Price Support Scheme are largely handled by **NAFED / NCCF**.

Must-score facts — Revolutions matrix & 22 MSP crops

Table 1 — Agricultural revolutions & proponents

Revolution	Commodity / sector	Pioneer / key personality	Landmark
Green	Wheat and rice	Norman Borlaug (world) / M.S. Swaminathan (India)	HYV semi-dwarf seeds; Punjab–Haryana–Western UP
White	Milk and dairy	Verghese Kurien	Operation Flood (1970); Amul / NDDB
Yellow	Oilseeds	Sam Pitroda	Technology Mission on Oilseeds (1986)
Blue	Fisheries / aquaculture	Hiralal Chaudhuri & Arun Krishnan	Neel Kranti; PMMSY
Golden	Horticulture, honey, fruits	Nirpakh Tutej	MIDH; Honey Mission
Golden Fibre	Jute	—	National Jute Board
Silver	Eggs / poultry	Indira Gandhi era push	Commercial poultry; NECC

Revolution	Commodity / sector	Pioneer / key personality	Landmark
Silver Fibre	Cotton	—	Bt cotton; Technology Mission on Cotton
Pink	Onion, prawns, pharma	Durgesh Patel	Meat / shrimp processing
Red	Meat and tomato	Vishal Tewari	Processing / abattoirs
Grey	Fertilizers	—	Urea / DAP capacity
Round	Potato	—	CPRI, Kufri (Shimla)
Evergreen	Sustainable agriculture	M.S. Swaminathan	Ecology + productivity
Rainbow	Holistic agri integration	National Agri Policy 2000	Crops + livestock + forestry + fishery
Sweet	Beekeeping / honey	—	National Beekeeping & Honey Mission

Table 2 — 22 mandated MSP crops + sugarcane FRP

Group	Count	Crops	Notes
Cereals	7	Paddy, Wheat, Maize, Jowar, Bajra, Ragi, Barley	CACP recommends; CCEA approves; paddy & wheat dominate physical procurement
Pulses	5	Gram, Tur/Arhar, Moong, Urad, Lentil (Masur)	Often via NAFED/NCCF under PSS
Oilseeds	7	Groundnut, Rapeseed/Mustard, Soybean, Sesamum, Sunflower, Safflower, Nigerseed	Edible-oil self-reliance push
Commercial	3	Copra, Raw Cotton, Raw Jute	CCI (cotton); Jute Corporation (jute)
Special	1	Sugarcane	FRP under Sugarcane (Control) Order, 1966 — not MSP

CACP COST LADDER (decidable spine)

A_2 = paid-out costs (seed, fertilizer, hired labour, lease rent...)
 $A_2 + FL$ = A_2 + unpaid family labour
→ Government MSP benchmark: $\geq 1.5 \times (A_2 + FL)$
 C_2 = $A_2 + FL$ + owned-land rent + interest on fixed capital
→ Swaminathan recommendation: $C_2 + 50\%$ (not the current fixing rule)

Topic 7 — Industry, MSME and Infrastructure

Consolidated — 47 Must-Score Facts

1. The **secondary sector** covers manufacturing, electricity, gas, water and construction in national-accounts teaching.
2. **Industrialisation** raises manufacturing's share of output and employment and deepens capital goods capacity.
3. India's industrial policy moved from Licence–Permit controls toward liberalisation after **1991**, with later missions for manufacturing and startups.
4. **Large-scale industry** uses heavy capital and organised labour; **SSI / MSME** and **cottage** units are smaller, more labour-intensive and dispersed.
5. **Cottage industries** are household / artisan-based with little separation of dwelling and workplace.
6. **MSME** classification (from **1 July 2020**) uses a **composite** investment + turnover criterion for manufacturing and services together — no separate mfg/services formula.
7. **2020 bands** (still keyed in many stems): Micro $\leq$ ₹1 crore / $\leq$ ₹5 crore; Small $\leq$ ₹10 crore / $\leq$ ₹50 crore; Medium $\leq$ ₹50 crore / $\leq$ ₹250 crore.
8. **From 1 April 2025**: Micro $\leq$ ₹2.5 crore / $\leq$ ₹10 crore; Small $\leq$ ₹25 crore / $\leq$ ₹100 crore; Medium $\leq$ ₹125 crore / $\leq$ ₹500 crore — read the stem year before picking a ceiling.
9. MSMEs dominate enterprise count and a large share of manufacturing employment and exports in teaching; all bank loans to MSMEs (meeting PSL conditions) qualify as **priority-sector** lending.
10. **Karve Committee (1955)** is the early Village and Small-Scale Industries committee of the plan era.
11. Later SSI / MSME committees in the liberalisation decades include **Nayak**, **Abid Hussain** and **S.S. Kohli** (sick-unit rehabilitation teaching).
12. **Make in India (25 September 2014)** encourages companies to manufacture in India and facilitates investment; logo is a **lion** of cogs.
13. **Startup India** eases compliance and funding; start-ups raise capital via **angel investors, venture capital and crowdfunding**.
14. **Stand-Up India** (5 April 2016) facilitates bank loans (₹10 lakh–₹1 crore teaching) to **SC/ST and women** greenfield entrepreneurs; SIDBI refinance / connect centres.
15. **PMMY / MUDRA** (8 April 2015, Ministry of Finance / DFS): Shishu $\leq$ ₹50,000; Kishore ₹50,001–₹5 lakh; Tarun ₹5–10 lakh; **Tarun Plus** up to **₹20 lakh** (from Oct 2024 teaching).
16. **Industrial corridors** (e.g. **DMIC with Japan**) and **SEZs** aim to cluster infrastructure, logistics and export-oriented production; Asia's first EPZ was **Kandla (1965)**.
17. **Public Sector Undertakings (PSUs)** are government-owned enterprises in strategic and commercial fields.
18. **Navratna / Maharatna / Miniratna** tags grant operational and investment autonomy tiers to eligible CPSE (Maharatna count is CA-sensitive — ~14 in recent teaching).
19. **Disinvestment** sells government equity in PSUs; **privatisation / strategic sale** transfers control; proceeds route via **National Investment Fund** teaching.
20. **FDI** is lasting foreign investment with control / lasting interest; **FPI** is portfolio investment (Topic 9 depth).
21. **Services** have long been a top sector for FDI equity flows in India teaching; Singapore has recently led as a source country.
22. **IIP** tracks industrial volume of **Mining + Manufacturing + Electricity** — **construction / gas–water supply are not** in IIP; publisher NSO (earlier CSO).
23. **Eight Core Industries** (~40.27% of IIP weight): coal, crude oil, natural gas, refinery products, fertilisers, steel, cement, electricity — **chemicals / textiles not** in the eight.
24. Among Core weights, **refinery products** are heaviest overall; among common option sets **electricity** often ranks highest.

25. Major industry lanes: **textiles, steel, cement, automobiles, electronics, pharmaceuticals, petrochemicals, food processing, defence manufacturing**.
26. **Textile** is the largest industrial employer after agriculture; **powerloom** leads cotton-cloth quantity; Gujarat leads mill-made cotton cloth teaching.
27. Public-sector steel collaboration map: **Bhilai–USSR/Russia; Rourkela–Germany; Durgapur–UK; Bokaro–USSR**.
28. **IT / electronics** and **pharma** are high-value strengths; India is about the **second-largest mobile-phone producer** after China in recent ICA teaching.
29. **Infrastructure** is the enabling capital stock — transport, energy, telecom, logistics and digital rails.
30. **PM Gati Shakti** launched **13 October 2021** — seven engines: roads, railways, airports, ports, mass transport, waterways, logistics infrastructure.
31. **National Infrastructure Pipeline (NIP)** covers roughly **FY 2019–25** (not “2020–30”); objective includes equitable infrastructure access; NIP projects align with Gati Shakti.
32. **Bharatmala** = roads/highways; **Sagarmala** = ports/coastal; Deepak Parekh and Vijay Kelkar committees = infrastructure financing / PPP revitalisation.
33. **NIIF** (2015) is India’s infrastructure investment fund under Finance Ministry — **not** an organ of NITI Aayog; proposed corpus teaching ≈ **₹40,000 crore** (not ₹4 lakh crore).
34. **National Manufacturing Policy (4 November 2011)**: raise manufacturing share toward **25%** of GDP, create **100 million** jobs, growth **12–14%**; tools include **NIMZs**, single-window clearance, Technology Acquisition Fund.
35. First NIMZ teaching often keys **Andhra Pradesh (Prakasam)**.
36. **PLI** rewards incremental domestic manufacturing; terms (incentive %, years, applicant categories) are scheme- and tranche-sensitive.
37. **PNGRB (2006)** promotes competitive markets for petroleum/gas; appeals go to the **Appellate Tribunal for Electricity**; it is **not** India’s first regulatory body.
38. **PCRA** = Petroleum Conservation Research Association.
39. **CGTMSE** = Credit Guarantee Fund Trust for Micro and Small Enterprises (GoI + SIDBI).
40. **Digital India** is a digital-empowerment mission — **not** primarily an industrial-development initiative (unlike Make in India / Startup India / EoDB).
41. Industrial Policy landmarks: **1948** first free-India policy; **1956** joint-sector vision; **IDR Act 1951** licensing power; **1991** liberalisation / delicensing of most industries.
42. Act chronology teaching: **Minimum Wages Act 1948 → Industries (D&R) Act 1951 → MRTP 1969 → FERA 1973**.
43. **Abid Hussain Committee** recommended abolition of SSI product reservation; **Nayak Committee** examined SSI finance.
44. **Reliance Industries** — first Indian private firm on Fortune Global 500 teaching (2006); long-time Fortune India #1; first Indian firm above **USD 200 bn** market cap.
45. Railway teaching: near-**100% broad-gauge electrification** push; **net-zero carbon** network target by **2030**.
46. India–**Japan** collaboration: **Delhi–Mumbai Industrial Corridor (DMIC)**.
47. Topic border: CSR / Kotak governance → **Topic 11**; labour codes / Code on Wages → **Topic 12**; poverty from industry → Topic 8; FDI stock tables → Topic 9.

Must-score drill — missions and MSME

Item	Tag
Make in India	25 Sep 2014; lion logo; manufacture + investment
Gati Shakti	13 Oct 2021; seven engines
MSME new definition	1 July 2020; ceilings revised 1 Apr 2025

Item	Tag
Micro / Small / Medium (2020)	1&5 / 10&50 / 50&250 (₹ crore)
MUDRA bands	Shishu / Kishore / Tarun / Tarun Plus (to ₹20 lakh)
Stand-Up India	SC/ST + women; ₹10 lakh–₹1 crore
NMP	4 Nov 2011; 25% GDP / 100 mn jobs
Eight Core	Coal–oil–gas–refinery–fertiliser–steel–cement–electricity
IIP sectors	Mining, manufacturing, electricity only
NIIF	Not NITI; ~₹40,000 crore corpus teaching
Bharatmala	Road infrastructure
DMIC partner	Japan
Top FDI sector (classic)	Services
SSI chronology key	Karve → Abid Hussain → Nayak → Kohli
SIDBI	MSME apex DFI
IIP	Industrial production index
Disinvestment	Govt sells PSU equity

Topic 8 — Employment, Poverty, Human Capital and Social Economy

Consolidated — 50 Must-Score Facts

1. **Poverty** is the inability to meet a minimum standard of living — measured by income/consumption lines or by multidimensional deprivations.
2. India's official poverty estimation has mainly used **household consumption** surveys, not per capita income alone.
3. **Alagh Committee (1979)** recommended a poverty line based on **nutritional / calorie requirements** exclusively in the classic key.
4. Later lines: **Lakdawala, Tendulkar, Rangarajan** — each revised basket, prices and methodology.
5. **Head Count Ratio** is the share of people below the poverty line.
6. **Dadabhai Naoroji** used the **jail cost of living** to sketch an early subsistence poverty estimate for India.
7. **Social indicators of poverty** include illiteracy, malnutrition, lack of safe drinking water / sanitation, and lack of employment opportunities.
8. **Size of house (floor area)** is **not** the standard social indicator — housing quality (materials) matters in MPI living-standard measures.
9. **Multidimensional Poverty Index (MPI)** was introduced in the **Human Development Report 2010**, replacing the **Human Poverty Index (HPI)** of 1997.
10. Global MPI dimensions: **Health, Education, Standard of Living** (ten indicators beneath).
11. MPI is a **non-money** deprivation index — it does **not** count people by the World Bank 1/day line.
12. NITI Aayog publishes India's **National MPI** using NFHS-based indicators.
13. **MGNREGA** guarantees rural wage employment (100 days teaching) and builds local assets — a demand-side safety net.
14. **Unemployment** means willing workers cannot find work at the going wage / conditions.
15. **Disguised unemployment**: surplus labour with near-zero marginal product (classic farm surplus-labour teaching).
16. **Seasonal unemployment** follows agricultural / tourism seasons.
17. **Structural unemployment** comes from skill / sector mismatch as the economy's structure changes.
18. **Frictional unemployment** is short job-search / transition unemployment.
19. **Cyclical unemployment** rises in demand slowdowns.
20. **Labour-force participation rate (LFPR)** is labour force as a share of population in the reference age group.
21. **Informal sector** dominates employment share — low social security, high flexibility.
22. **Human capital** is the stock of skills, knowledge and health embodied in people.
23. Investment in education and health yields **future returns** by raising productivity.
24. **Human Development Index (HDI)** (UNDP, first HDR 1990) combines **long and healthy life, knowledge**, and **decent standard of living**.
25. HDI indicators teaching: **life expectancy, education** (mean / expected years of schooling), **GNI per capita (PPP)** — not environmental quality.
26. **Mahbub ul Haq** led the first Human Development Report; Amartya Sen's capabilities approach underpins the philosophy.
27. **Demographic dividend**: growth opportunity when the share of **working-age population (15–59 in Indian keys)** is high relative to dependents.
28. **Inclusive growth** spreads benefits across regions, castes, genders and income groups — growth plus equity.
29. UNDP also publishes **Inequality-adjusted HDI** and **Gender Inequality Index (GII)** — GII appeared in later HDR editions (2010 teaching for GII introduction in many keys).
30. Extreme money poverty (/day lines) and MPI answer different questions — do not merge them in stems.

31. **Sustainable development** = present needs without compromising future generations (**Brundtland / Our Common Future, 1987**).
32. Term appeared in **IUCN World Conservation Strategy (1980)**; **Agenda 21** at Rio **1992** (not 1995).
33. **Social capital** = mutual trust and harmony; **human capital** = skills/knowledge/health; **physical capital** = machines/buildings.
34. **Irrigation** does **not** directly form human capital; skill programmes do.
35. **Auguste Comte** propounded the **three stages** of social development (theological → metaphysical → positive/scientific).
36. Development chronology of measures: **Per-capita Income** → **PQLI** → **HDI**.
37. **Physical Quality of Life Index (PQLI)** was developed by **Morris D. Morris** (mid-1970s): average of literacy, infant mortality, and life expectancy at age one.
38. **Amartya Sen's Capability Approach** focuses on what people can do and be — poverty as capability deprivation; development as capability expansion.
39. Life Expectancy Index teaching bounds: maximum **85** years, minimum **20** years (post-2010 method; older keys used 85 and 25).
40. Before 2010, HDI living standard used **GDP per capita (PPP)**; since 2010 it uses **GNI per capita (PPP)**.
41. **Gender Inequality Index (GII)** was introduced in HDR **2010** (health, empowerment, labour-market dimensions).
42. **Bhutan** measures progress by **Gross National Happiness (GNH)**, not GNP alone — four pillars include sustainable development, culture, environment and good governance.
43. **World Happiness Report** ranks countries on subjective well-being; India's recent ranks sit in the mid-100s (≈126 in 2023 report; ≈116 in 2026 report teaching).
44. First State Human Development Report in India: **Madhya Pradesh (1995)**.
45. Among Indian States, **Kerala** has long topped HDI; **Bihar** is typically at the bottom in older national HDR tables (e.g. Bihar HDI ≈ **0.574** in 2019 teaching).
46. Economic Survey **Bare Necessities Index (BNI)** uses **26 indicators** across **five** dimensions (water, sanitation, housing, micro-environment, other facilities) for 2012 and 2018 — not six dimensions / 2018-only.
47. Positive HDI–SDG State ranking correlation rests on shared education and health dimensions.
48. SD is intertwined with **carrying capacity**; many keys treat the **environmental approach** as its base.
49. Poverty causes: low productivity, unemployment / underemployment, inequality, social exclusion, shocks (health, climate, debt).
50. Alleviation mix: growth, targeted programmes, food security (Topic 6), employment guarantees, human-capital investment.

Must-score drill — HDI, MPI, labour, sustainable development

Item	Tag
First HDR / HDI	1990; Mahbub ul Haq
HDI pillars	Life expectancy, education, income (GNI PPP post-2010)
PQLI	Morris D. Morris; literacy + IMR + LE at age 1
Measure order	PCI → PQLI → HDI
Capability Approach	Amartya Sen
GII	HDR 2010
GNH	Bhutan
State HDI	Kerala top; Bihar bottom (classic)
BNI	26 indicators; 5 dimensions; ES 2020–21

Item	Tag
HPI → MPI	1997 → 2010
MPI dimensions	Health, education, living standard
Alagh	Nutrition-based poverty line
Demographic dividend	Working age 15–59 (UPPCS key)
Disguised unemployment	Near-zero marginal product surplus labour
Social indicator odd one	Size of house
Naoroji	Jail cost of living
Brundtland	Our Common Future, 1987
Limits to Growth	Club of Rome, 1972
Social capital	Mutual trust and harmony
HCI 2020 top	Singapore
Survey SD chapter	2011–12
ADP	NITI; Jan 2018; 112 districts; 49 KPIs; 5 themes
ABP	Jan 2023; 500 blocks
PM-JAY	23 Sep 2018, Ranchi; ₹5 lakh/family/year; NHA; 60:40
ABDM	Sep 2021; voluntary; national portability
RSBY	Unorganised BPL; subsumed in PM-JAY
NRHM	12 Apr 2005; Tenth Plan; ASHA
Mission Indradhanush	25 Dec 2014; children + pregnant women
POSHAN / Poshan Maah	NNM; September
ICDS	2 Oct 1975; six services; not family planning
PMKVY	MSDE + NSDC; soft skills + NSQF
AIM	NITI Aayog
PMJDY	28 Aug 2014; financial inclusion
Ujjwala	1 May 2016; Ballia (UP)
Saubhagya	Sep 2017; Ministry of Power
BBBP	22 Jan 2015; Panipat
JSY	Apr 2005; institutional delivery; replaces NMBS
Bharat Nirman	2005; six rural infra components
JJM	Budget 2019–20 / launch 15 Aug 2019
AMRUT	Jun 2015; 500 cities; >60% urban population
PMGSY	25 Dec 2000; plain 500+ habitations
SPM Rurban Mission	2016
IRDP → SGSY → NRLM	Livelihood group lineage
SGSY	1999
NRLM / DAY-NRLM	June 2011; rename 29 Mar 2016
MGNREGA	Act 2005; force 2 Feb 2006 (200 districts); rename 2 Oct 2009; 100 days/household
SJSRY	1 Dec 1997; urban; not PMRY
CDP	2 Oct 1952; S.K. Dey

Item	Tag
NES	1953
APY	9 May 2015; unorganised; spouse continues
PM-SYM	18–40; ₹3,000 after 60; spouse family pension
AABY	2 Oct 2007; rural landless BPL
PMSBY	18–70; accident cover
NSAP	From 15 Aug 1995; not MKSP
SBM	2 Oct 2014; ODF/Clean India by 2 Oct 2019
WaterCredit	Water.org microfinance — not WHO/World Bank
MNP	Fifth Plan; investment in human resources
SVAMITVA	Panchayati Raj; drones + CORS (~5 cm)
DILRMP	100% Central; cadastral digitisation; RoR transliteration
PMAY	June 2015; Housing for All by 2022 (original)
RAY	2011; slum-free India
SSA / Samagra	2001 / SSA+RMSA+TE (2018)
MDM → PM POSHAN	15 Aug 1995 → rename 2021
Alagh kcal	2400 rural / 2100 urban
Lorenz / Gini	Distribution graph / inequality index
Nurkse / Oscar Lewis	Vicious circle / culture of poverty

Topic 9 — External Sector, Foreign Trade and Global Economy

Consolidated — 44 Must-Score Facts

1. **Foreign trade** is the exchange of goods and services across national borders — exports earn foreign exchange; imports spend it.
2. **Balance of Trade (BoT)** is merchandise exports minus merchandise imports (goods only in the classic teaching).
3. A **trade surplus** means goods exports exceed goods imports; a **trade deficit** means the reverse.
4. **Balance of Payments (BoP)** is the systematic record of all economic transactions between residents of a country and the rest of the world in a period.
5. BoP has two main books in school teaching: **Current Account** and **Capital / Financial Account** (plus reserve changes / balancing items).
6. **Current account** covers trade in goods, trade in services (invisibles), primary income (investment income, compensation), and secondary income (transfers / remittances teaching).
7. **Export and import of goods** belong to the **current account**.
8. **FDI, External Commercial Borrowings (ECBs) and IMF loans** belong to the **capital / financial account** — not the current account.
9. **Trade deficit** is a goods-only gap; **Current Account Deficit (CAD)** is the broader current-account gap after services, income and transfers.
10. India often runs a **merchandise trade deficit** while services and remittances cushion the current account.
11. **Invisible trade** includes services such as software, tourism, transport and financial services.
12. **Remittances** are private transfers from migrants — a major current-account credit for India.
13. World Bank remittance ranks for **2022: India first, Mexico second, China third, Philippines fourth**.
14. **Capital account / financial account** records capital flows: FDI, FPI, loans, banking capital and related items.
15. **FDI** is lasting foreign investment with control / lasting interest in an enterprise.
16. **FPI** is portfolio investment in securities — typically more reversible than FDI.
17. FDI ≠ FPI; industry source/sector ranking depth also appears in Topic 7.
18. **External Commercial Borrowings** are foreign-currency loans raised by Indian entities under RBI/government rules.
19. **External debt** is what residents owe non-residents — short-term vs long-term and by borrower type matter in monitoring.
20. **Foreign exchange reserves** are official holdings of foreign currencies, gold, SDRs and reserve position in the IMF (composition teaching).
21. Reserves buffer import cover, intervene in forex markets and support confidence.
22. **Exchange rate** is the price of one currency in terms of another.
23. **Flexible (floating) exchange rate**: the national currency's external value is set by demand and supply of foreign currency in the market.
24. Under a flexible regime, demand and supply of forex come from trade, investment, remittances and market participants — **not** "determined by the Central Bank" as a definition.
25. India follows a **managed float**: the market sets the path; RBI may intervene to curb disorderly moves.
26. **Fixed exchange rate**: authorities announce a parity and defend it with reserves / controls.
27. **Appreciation** is a rise in a currency's value relative to another; **depreciation** is a fall (market regimes).
28. **Devaluation** is a deliberate official cut in a fixed-parity currency's value; **revaluation** is the opposite.
29. Depreciation / devaluation make exports cheaper in foreign currency and imports dearer in domestic currency (competitiveness teaching).
30. **Convertibility** means freedom to convert domestic currency into foreign currency for permitted transactions.

31. India has long practised **current-account convertibility**; **full capital-account convertibility** remains managed / staged.
32. **FERA, 1973** was a strict foreign-exchange **control** law from the shortage era.
33. **FEMA, 1999** replaced FERA; it aims to facilitate external trade and payments and the orderly forex market.
34. FEMA **came into existence / was enacted in 1999**; it **came into force on 1 June 2000**.
35. FERA is **not** “mainly an external-debt liability law” — that tag is a false distractor.
36. **Trade barriers** restrict free trade: **tariffs** (taxes on imports) and **non-tariff barriers** (quotas, standards, licences, procedural frictions).
37. **WTO** (1995, successor to GATT) sets multilateral trade rules, runs negotiations and a **dispute settlement** system.
38. WTO HQ is **Geneva**; Ministerial Conference venues rotate (e.g. **MC-13 at Abu Dhabi**, 2024).
39. WTO **agriculture** rules (Amber / Blue / Green boxes, subsidies) deepen also in Topic 6 — do not invent “allows all direct / bans all indirect” as a simple law.
40. **Globalisation** intensifies cross-border flows of goods, services, capital, technology and people.
41. India’s major bilateral trade partners in teaching include **China, USA, UAE, EU** clusters — partner shares shift with energy prices and electronics.
42. **India-China trade** often shows a large Indian merchandise deficit; **India-US** trade is services- and goods-heavy with different composition.
43. **Free Trade Agreements / CEPA / CECA** lower barriers bilaterally or regionally within WTO-compatible frameworks.
44. Topic border: IMF / World Bank / BRICS / G20 → Topic 10; company / FDI policy sector lists → Topic 7; FEMA PMLA neighbour acts deepen in Topic 12.

Must-score drill — BoP, forex, FEMA

Item	Tag
Current account example	Export–import of goods
Not current account	FDI, ECB, IMF loans
Flexible rate	Market demand–supply of forex
Flexible-rate false reason	“Central Bank determines D&S”
Remittances 2022	India 1, Mexico 2, China 3, Philippines 4
Appreciation	Rise in currency value
FEMA existence	1999
FEMA force date	1 June 2000
FERA false tag	“Mainly external debt liability”
WTO MC-13	Abu Dhabi

Topic 10 — International Institutions, Groupings and Summits

Consolidated — 46 Must-Score Facts

1. The **Bretton Woods Conference (1944)** created the **IMF** and the **IBRD** (core of today's World Bank) — popularly the **Bretton Woods twins**.
2. **IMF** headquarters: **Washington D.C.**
3. **World Bank** headquarters: also **Washington D.C.** — **not New York** (New York hosts the UN Secretariat).
4. **IMF** role teaching: monetary cooperation, exchange-rate surveillance, BoP support / conditional lending to **member** countries.
5. IMF does **not** lend to “any country” indiscriminately — membership and programme rules matter.
6. **World Bank Group** is a development-finance family aimed at poverty reduction and shared prosperity.
7. **IBRD** lends mainly to middle-income / creditworthy countries.
8. **IDA** provides concessional finance to the poorest countries.
9. **IFC** focuses on **private-sector** development finance.
10. Other World Bank Group arms in teaching: **MIGA** (political-risk insurance) and **ICSID** (investment dispute settlement).
11. World Bank membership count in classic keys is about **189** (year-sensitive — confirm CA if asked for a fresh count).
12. **ADB (Asian Development Bank)** — regional development bank; HQ **Manila**.
13. **AIIB (Asian Infrastructure Investment Bank)** — China-initiated multilateral bank for infrastructure; HQ **Beijing**; India is a founding member and major shareholder.
14. **New Development Bank (NDB)** — BRICS development bank; HQ **Shanghai**.
15. **Special Drawing Rights (SDRs)** are an IMF reserve asset — appear in forex-reserve composition (Topic 9 neighbour).
16. **G20** is the premier forum for major economies' economic cooperation (19 countries + EU; **African Union** joined as a permanent member under India's 2023 Presidency teaching).
17. India held the **G20 Presidency in 2023**; Leaders' Summit in New Delhi; theme **Vasudhaiva Kutumbakam — One Earth, One Family, One Future**.
18. India's G20 logo features a **lotus with seven petals** representing the **seven continents**.
19. During India's Presidency, Uttar Pradesh hosted G20 meetings in **Varanasi, Agra, Lucknow and Greater Noida** — **Kanpur was not** a venue in the keyed stem.
20. **G7** is the group of advanced industrial democracies (Canada, France, Germany, Italy, Japan, UK, USA) — Russia's G8 period ended after 2014 teaching.
21. **BRIC** acronym was coined by **Jim O'Neill** (Goldman Sachs) in **2001**.
22. First **BRIC** Summit: **2009**, Russia (Yekaterinburg teaching).
23. **South Africa** joined → grouping became **BRICS** in **2010**.
24. **10th BRICS Summit (2018)** was held in **South Africa** (Johannesburg).
25. BRICS later expanded (2024 wave: Egypt, Ethiopia, Iran, UAE, and Saudi Arabia invitation track in CA; **Indonesia** full member from **2025** in UKPCS key).
26. **New Development Bank** and the Contingent Reserve Arrangement are BRICS financial pillars in teaching.
27. Stock BRICS share lines (population large; GDP share significant) appear in stems — an inflated “~46% of global trade” tag is a classic **NOT correct** distractor.
28. **SCO (Shanghai Cooperation Organisation)** — Eurasian security–economy grouping; India and Pakistan joined as full members in **2017** teaching.
29. **ASEAN** — ten Southeast Asian states; Central Secretariat in **Jakarta**.
30. ASEAN–India summits rotate with the ASEAN Chair (e.g. **Vientiane / Laos** for the 21st Summit teaching in 2024).

31. **SAARC** — South Asian Association for Regional Cooperation; members: Afghanistan, Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan, Sri Lanka.
32. First SAARC Summit: **Dhaka, 1985**; first SAARC Summit **in India: Bangalore, 1986**.
33. SAARC Secretariat: **Kathmandu**.
34. **BIMSTEC** links Bay of Bengal South Asia and Southeast Asia: **Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, Thailand**.
35. **Indonesia is not** a BIMSTEC member (ASEAN member distractor).
36. BIMSTEC Permanent Secretariat: **Dhaka** (opened 2014 teaching).
37. **5th BIMSTEC Summit (30 March 2022)**: virtual / Colombo chair — **Sri Lanka** chaired; PM Modi **addressed**; India did **not** chair that summit.
38. **6th BIMSTEC Summit (2025)**: **Bangkok**, Thailand chair (UKPCS neighbour).
39. **OECD** — club of mostly advanced economies setting policy standards; HQ **Paris**; India is a key partner, not a classic full member in older teaching.
40. **WTO** organisation desk: founded **1995**, HQ **Geneva**; Ministerial Conference venues rotate (MC-13 **Abu Dhabi** — Topic 9).
41. **World Economic Forum (WEF)** — Davos meetings; publishes competitiveness / risk reports (Global Competitiveness Index classic tag).
42. IMF publishes **World Economic Outlook**; World Bank publishes **World Development Report** / Doing Business era products (Doing Business discontinued — Topic 12 rankings).
43. Multilateral development banks finance infrastructure and reforms with longer horizons than short-term IMF BoP support.
44. India is a member / shareholder across IMF, World Bank, ADB, AIIB and NDB — voting power and capital subscriptions are CA-sensitive.
45. Regional groupings matter for trade corridors: ASEAN FTA track, BIMSTEC connectivity, SAARC stall vs BIMSTEC push in Indian diplomacy teaching.
46. Topic border: trade barriers / BoP / FEMA → Topic 9; CSR / domestic regulators → Topic 11; index publishers deepen → Topic 12.

Must-score drill — twins, groupings, HQs

Item	Tag
Bretton Woods twins	IMF + World Bank / IBRD (1944)
Both HQs	Washington D.C.
World Bank ≠ New York	UN confusion trap
Jim O'Neill	Coined BRIC, 2001
BRICS name	South Africa, 2010
10th BRICS Summit	South Africa, 2018
BIMSTEC non-member	Indonesia
BIMSTEC Secretariat	Dhaka
5th BIMSTEC Summit chair	Sri Lanka (2022)
G20 logo	7 petals = 7 continents
UP G20 odd city	Kanpur
ASEAN Secretariat	Jakarta
First SAARC in India	1986

Topic 11 — Services, Cooperatives, Companies and Regulators

Consolidated — 50 Must-Score Facts

1. The **tertiary (services) sector** covers trade, hotels, transport, communication, banking/finance, insurance, real estate, public administration & defence, education, entertainment and tourism.
2. **Primary** = agriculture, forestry, fishing, dairy, mining / quarrying; **Secondary** = manufacturing and related industrial processing; **Tertiary** = services.
3. **Forestry and fishing, mining and quarrying** are **not** tertiary — they are primary (mining support exploration is still primary-side in keyed NIC teaching).
4. **Marketing**, transport, communication and commerce are tertiary; **weaving cloth** is secondary; **dairy farm** is primary.
5. **Storage of agricultural produce** is a **tertiary** activity (with trade/transport/communication), not secondary.
6. In India's structural-change story, **services dominate GVA/GDP share** while agriculture still employs a large workforce share.
7. Recent GVA share order (current prices teaching): **Services > Industry > Agriculture** — e.g. FY24 Survey $\approx$ **54.7 / 27.6 / 17.7**; 2025–26 S.A.E. $\approx$ **54.35 / 27.76 / 17.88**.
8. Within services GVA (2025–26 S.A.E. teaching): **Financial, real estate & professional services** is the largest sub-block (~**27%** of total GVA), ahead of trade–hotels–transport–communication (~**14%**) and public administration & other services (~**13%**).
9. **Construction** is part of **industry** in national accounts — **not** a services-sector component in GVA share stems.
10. As the economy develops, the **share of the tertiary sector in GDP rises** (structural shift).
11. Services are a major earner of **foreign exchange** through IT–ITeS, tourism and other invisibles (Topic 9 neighbour).
12. **IT / ITeS** (software, BPO, digital services) is a flagship tradable services cluster.
13. **Tourism** and hospitality convert natural / cultural assets into services income and jobs.
14. **Transport and logistics** (road, rail, air, ports, warehousing) enable goods and people movement — Gati Shakti links Topic 7.
15. **Education and healthcare** are social services with large private and public delivery mix.
16. **E-commerce and digital services** reshape retail, payments and delivery — regulated across IT, consumer and competition lanes.
17. Banking and insurance are **financial services**; full bank regulation → Topic 3; insurance regulator named here.
18. A **cooperative** is a member-owned enterprise organised on voluntary membership, democratic control and mutual benefit.
19. Constitutional teaching: **Article 43B** (DPSP) on promotion of cooperatives; **97th Amendment** strengthened the cooperative constitutional frame (Part IXB teaching — state-law nuances exist).
20. **Ministry of Cooperation** was created in **2021** to give cooperatives a dedicated Central desk.
21. Cooperative forms: credit societies, dairy / marketing cooperatives, multi-State cooperatives, cooperative banks.
22. **Cooperative banks** sit under banking regulation with RBI / State roles (depth in Topic 3); policy identity also appears here.
23. Dairy cooperative teaching links **Amul / NDDB / Kurien** (White Revolution — Topic 6).
24. **Companies** are artificial legal persons; **public** and **private** companies differ on share offer / member limits teaching.
25. **Companies Act, 2013** is the principal company-law statute (not a “Companies Act, 2014”).
26. **CSR (Corporate Social Responsibility)** under Section 135 requires eligible companies to spend **at least 2%** of the **average net profits of the three preceding financial years** on Schedule VII activities.

27. CSR eligibility thresholds teaching: net worth / turnover / net profit cut-offs (₹500 crore / ₹1,000 crore / ₹5 crore classic tags).
28. Companies (CSR Policy) **Rules, 2014** notify machinery — do not rename the parent Act as 2014.
29. CSR spend that **benefits employees exclusively** (or the company directly) is **not** eligible CSR.
30. India was the **first country** to make CSR legally mandatory (from 1 April 2014 under the 2013 Act).
31. **Uday Kotak Committee (SEBI, 2017)** — corporate governance; Chair and MD posts should be **separated** (not kept the same).
32. **Corporate governance** covers board duties, disclosure, audit and minority protection under company and securities law.
33. **RBI** — monetary authority and banking regulator (list tag here; full toolkit Topic 3).
34. **SEBI** — securities market regulator (list tag here; markets depth Topic 4); statutory SEBI Act **1992**.
35. **IRDAI** — insurance sector regulator (IRDA Act **1999**); HQ **Hyderabad**.
36. **PFRDA** — pension sector / **NPS** regulator (PFRDA Act **2013** statutory frame).
37. **CCI (Competition Commission of India)** — Competition Act **2002**; prevents anti-competitive agreements, abuse of dominance and regulates combinations.
38. **TRAI** — telecom / broadcasting tariff and interconnection regulator; disputes go to **TDSAT** in teaching.
39. **IFSCA (International Financial Services Centres Authority)** — unified regulator for financial products / services in IFSCs, notably **GIFT City**.
40. **BIS (Bureau of Indian Standards)** — national standards body; ISI / standards marks for product quality.
41. **FSSAI** — food safety regulator under Food Safety and Standards Act **2006**; Ministry of Health & Family Welfare lane.
42. **ECOMARC** is India's eco-label for environment-friendly products.
43. **AGMARK** grades agricultural produce quality (agri neighbour); do not swap with ECOMARC.
44. **Consumer Protection Act, 2019** modernises consumer rights, product liability and e-commerce duties (polity depth may sit in Acts notes).
45. **MRP (Maximum Retail Price)** is a **legal ceiling** on packaged goods — seller **cannot charge above** MRP; selling / bargaining **below** MRP is allowed.
46. MRP is **not** a mandatory exact price the seller "must" charge.
47. Consumer rights teaching: safety, information, choice, redressal, consumer education.
48. Quality certification and standards reduce information asymmetry between producers and buyers.
49. Regulators are mostly **statutory** bodies — distinct from constitutional bodies (Election Commission, UPSC, etc.).
50. Sector overlap traps: SEBI vs IRDAI on some hybrid products; TRAI vs CCI on telecom competition — coordination, not identity.

Must-score drill — tertiary map, CSR, MRP, regulators

Item	Tag
Tertiary includes	Trade, hotels, transport, finance, real estate, admin, education...
Tertiary excludes	Forestry, fishing, mining, manufacturing
GVA order (recent)	Services > Industry > Agriculture
Storage of agri produce	Tertiary
Marketing	Tertiary
Construction in GVA	Industry (not services)
CSR statute	Companies Act, 2013
CSR spend	≥ 2% of 3-year average net profits

Item	Tag
MRP	Ceiling — bargain below allowed
ECOMARC	Environment-friendly products
IRDAI	Insurance; HQ Hyderabad
PFRDA	NPS / pensions
CCI	Competition Act 2002
TRAI	Telecom
IFSCA	GIFT IFSC
FSSAI	Food Safety Act 2006
Ministry of Cooperation	2021

Topic 12 — Economic Laws, Reports, Rankings and Misc

Consolidated — 50 Must-Score Facts

1. The **Economic Survey** is tabled by the Finance Ministry (CEA wing) usually a day before the Union Budget — a review of the economy and policy narrative.
2. Survey questions are **edition-specific** — match the year in the stem before picking a number or phrase.
3. Economic Survey 2022–23: amid global supply disruptions, the government **reduced taxes on fuel and certain imported products** (not cut food/fertiliser subsidies; not raised fuel taxes).
4. Economic Survey 2022–23 services teaching: services credit growth above **16%** since July 2022; **75 Digital Banking Units**; PMI services strong expansion — e-commerce fashion/grocery “two-thirds” was framed as **next four years (~2027)**, not **2030**.
5. **Insolvency and Bankruptcy Code (IBC), 2016** — time-bound corporate insolvency resolution; IBBI is the regulator.
6. **RERA (Real Estate Regulation and Development Act), 2016** — regulates promoters / projects and protects home buyers.
7. **Competition Act, 2002** — CCI (Topic 11).
8. **Companies Act, 2013** — company law + CSR (Topic 11).
9. **Consumer Protection Act, 2019** — consumer rights / e-commerce duties (Topic 11).
10. **FEMA, 1999** (force **1 June 2000**) replaced **FERA, 1973** (Topic 9).
11. **PMLA, 2002** — Prevention of Money Laundering Act; Enforcement Directorate investigates; scheduled offences feed the laundering definition.
12. Under PMLA, the Director **can** call for records from financial institutions — a stem saying the Director “is not given” that power is **false**.
13. Four **Labour Codes** (Wages; Industrial Relations; Social Security; Occupational Safety) consolidate many older labour laws — year tags are CA-sensitive (2019–20 passage teaching).
14. **FRBM Act** anchors fiscal-deficit rules (Topic 2).
15. **Human Development Index / HDR** — UNDP; first HDR **1990**; pillars in Topic 8.
16. Rank **number rising** (e.g. 130 → 132) means a **worse** position — “slipped” is correct language; “upgraded” is wrong.
17. HDR 2021–22 teaching: India around **132**; prior report band ~130/131 — keyed stem uses **slipped** as the true statement.
18. **Gender Inequality Index (GII)** entered HDR in **2010** (UKPCS neighbour).
19. HDR 2020 India HDI rank teaching: **131**.
20. **Physical Quality of Life Index (PQLI)** was developed by **Morris D. Morris** — literacy, IMR, life expectancy teaching — **not** UNDP and **not** Mahbub ul Haq.
21. **Global Hunger Index (GHI)** — IFPRI / Welthungerhilfe / Concern Worldwide editions; higher score = worse hunger; ranks are **not** comparable across editions without care.
22. GHI **2017**: India **100th** (of 119 scored that year).
23. **World Happiness Report** — Gallup World Poll / Cantril ladder; Finland often tops recent tables.
24. World Happiness Report **2022**: India **136th**.
25. **Global Peace Index (GPI)** — Institute for Economics and Peace (IEP); domains: conflict, safety/security, militarisation.
26. GPI **2018**: India **136th**.
27. **Ease of Doing Business / Doing Business** — World Bank (historical); India **77** in DB 2019 and **63** in DB 2020; report **discontinued** after 2021.
28. Learn both EoDB ranks; do not invent a live annual World Bank EoDB after discontinuation.

29. **Global Competitiveness Index** — World Economic Forum (Topic 10 neighbour).
30. **Global Innovation Index** — WIPO-led teaching in recent editions (CA-sensitive ranks).
31. **SDG India Index** — **NITI Aayog**; state performance dashboard.
32. SDG India Index top performers rotate by edition (Kerala / Uttarakhand shared top score **79** in 2023–24 UKPCS teaching).
33. Publisher drill: UNDP → HDI/HDR; World Bank → (historical) Doing Business / WDR; WEF → competitiveness; IEP → GPI; Happiness Report → happiness ranks; NITI → SDG India Index.
34. IBC's corporate insolvency resolution process (CIRP) and committee of creditors are the high-yield process tags.
35. RERA registration of projects and escrow of buyer funds are the high-yield buyer-protection tags.
36. Rank stems fail when you mix **years** — always read the edition year first.
37. **NITI Aayog** is the **nodal institution** for SDG implementation in India (not Planning Commission / Finance Commission).
38. SDG India Index categories: **Aspirant 0–49; Performer 50–64; Front-runner 65–99; Achiever 100**.
39. National SDG India Index score: **57** (2018) → **66** (2020–21) → **71** (2023–24).
40. **2023–24** joint toppers: **Kerala + Uttarakhand (79)**; Tamil Nadu **78**; Bihar lowest **57**.
41. **Uttar Pradesh**: Performer (2019–20 / 2020–21) → Front Runner **67** (2023–24).
42. Gujarat was **not** among top-five States in 2019–20 / 2020–21 SDG India Index stems.
43. Global SDSN ranks (edition-bound): **2016 = 110; 2017 = 116; 2023 ≈ 112; 2024 ≈ 109; 2025 = 99** (first top-100).
44. **SDG-6** = Clean Water and Sanitation; **SDG-15** = Life on Land; **SDG-1 / 2 / 9** = No Poverty / Zero Hunger / Industry–Innovation–Infrastructure.
45. SDG Urban Index 2021–22 top: **Shimla** → **Coimbatore** → **Chandigarh / Thiruvananthapuram** — Indore not in top three.
46. India's SDG success is globally critical because India is ≈ **one-sixth** of world population.
47. UN SG **Annual SDG Progress Report** vs **Global Sustainable Development Report** every **four years** (not every quarter).
48. SDG-4 (Quality Education) keyed levers: free/compulsory education + school infrastructure / digital — not agri expansion.
49. Publisher split: **NITI** = SDG India Index (States); **SDSN** = global Sustainable Development Report.
50. Match drill: SDG-10 Reduced Inequalities; 13 Climate Action; 14 Life Below Water; 15 Life on Land.

Must-score drill — Acts, Survey, ranks

Item	Tag
IBC / RERA	Both 2016
PMLA	2002; ED; Director can call FI records
Survey 2022–23 fiscal response	Cut fuel / selected import taxes
Survey e-commerce share year	~2027 / next four years — not 2030
PQLI	Morris D. Morris
GHI 2017	India 100
Happiness 2022	India 136
GPI 2018	India 136
EoDB	77 (2019) → 63 (2020); discontinued
HDR 2021–22	Slipped to 132

Item	Tag
GII	HDR 2010
SDG India Index	NITI Aayog (nodal for SDGs)
SDG India Index 2023–24 top	Kerala + Uttarakhand 79
SDG categories	Aspirant / Performer / Front-runner / Achiever
SDSN 2017 / 2025	India 116 / 99
SDG-6 / SDG-15	Water & sanitation / Life on Land